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Process of entrepreneurship

Come Up with a Viable Idea

Every great business started with a great idea. If you want to launch a successful business, think about problems. The best business ideas are ones that solve some consumer problems.

For instance, when smartphones were created, consumers had a problem with their screens breaking every time they would drop the phone. Therefore, screen protectors became a viable business idea.

Write a Business Plan

“Entrepreneurs that fail to plan, Are planning to fail.”

A business plan is a documented execution strategy that describes not only the intentions of your business but the formula by which it will grow. Writing a business plan may seem like a trivial process, but it's one of the most important steps in starting a business.

A carefully-crafted business plan will help you attract important partners and can be an influential piece in acquiring funding.

Plan Your Finances and Budget

Knowing how you intend to finance your small business and outlining emergency financing options are important considerations for new business owners. Most small businesses can get started with little capital — and many entrepreneurs prefer to bootstrap with their own financing in the early stages.

However, because cash flow is one of the main reasons small businesses fail, you may want to secure extra capital earlier than later, especially if your business starts growing rapidly.

Decide on the Structure

All businesses need a legal structure. The business entity you choose will impact owners' liability, tax requirements, annual filing documents, and your ability to raise funds among other things. There are several options for your business structure, but the most common for small businesses are:

- Limited Liability Company (LLC)
- Sole Proprietorship
- Partnership
- Corporation

Find and Set Up a Location

Your business location will depend on the type of business you intend to launch. If it's a retail store, are you renting a unit inside a larger facility or do you want an independent store? If it's an online business, do you need an office or can your team work remotely in home offices?

These are all important questions to consider as you decide on the perfect location for your business.

When you find a location, you'll then need to purchase all the equipment, supplies, furniture, and inventory needed to launch your business.

Create Your Brand

By now, you've validated your business idea, created an execution plan, decided on funding, and picked your location and structure. You're almost ready for your first client — but, nobody even knows who you are or what you do.

That's where branding comes into play. New businesses live or die by their ability to build and maintain a positive brand in the industry within which they operate.

A small business branding starter guide includes:

Pick your brand name, design a logo, and finalize your brand's style guide. Purchase a great domain name, and build a user-friendly website. Set up and optimize your business listings on Google My Business, Facebook, Instagram, and other important social sites

Build Your Team

In all likelihood, you'll need to hire employees before you launch your small business. Many entrepreneurs try to take on too many roles early on in their organization, which can cause quality control issues and is generally just a poor use of human resources.

The best business owners are the ones who understand that running a successful company means focusing on personal competencies and finding ways to delegate other tasks and areas to people with expertise in that field.

Launch Your Small Business

Congratulations - You're now ready to launch your small business! The work that you've put into the launch is just the beginning. You will need to continue to put time into planning, budgeting, marketing, and hiring among many other areas.

The first few months of business are incredibly important. Take time to talk to your clients and collect feedback. Ask satisfied customers to leave reviews online. The information and response received should dictate how you plan your strategies moving forward. You may find that you need to make improvements to your quality, pivot your offerings, or reevaluate your target audience.

What is Entrepreneurial Management?

Entrepreneurial management is the practice of giving the innovation inherent in entrepreneurship a more solid management structure. Many new entrepreneurs have ideas for businesses they want to start, or products they want to create, but don't know how to manage a small business effectively. Through entrepreneurial management, you can manage a growing business without limiting the creativity or passion of a startup.

Having an entrepreneur management plan provides benefits like:

Establish clear goals

Within an entrepreneur management plan, you establish the goals you want to achieve with your startup. This includes short-term goals, such as launching your first product, and long-term goals, like generating a certain number of sales. Having clear goals can help everyone involved with the startup stay motivated, as they'll know what they're working to achieve. In addition, it helps you determine what actions you need to take to reach those goals.

Coordinate actions

It's easier to achieve goals when everyone coordinates their actions. With an entrepreneur management plan, you determine what actions your startup needs to take and who performs them. Mapping these actions can also help you identify any missing actions before beginning and ensure that you assign each action to at least one person.

Improve resource management

Limited resources such as funds, staff and time may be typical for new business ventures since owners are working to grow a customer base. Therefore, it's important for entrepreneurial managers to ensure that they are using their resources effectively. Through an entrepreneur management plan, you can determine where to spend your resources before you commit them. This ensures you are using all of your available resources and using them in the best possible way.

Create performance standards

Through an entrepreneur management plan, you'll define your desired outcomes and when you want to achieve them. You can use these as your performance standards and judge if your business is on schedule. For example, if you set a goal to launch your product in six months, you can check your progress in three months to ensure you're halfway done. If you're not, you can adjust your methods to make achieving your goal more likely.

Balance risk

An entrepreneur management plan establishes how the entrepreneur will balance their personal risk with their role within the company. Learning how to balance personal risks can help entrepreneurs better prepare for unexpected issues. For example, it may outline how much of their own money the entrepreneur can safely invest.

Principles of entrepreneurial management

Entrepreneurial management has several principles, which aim to give entrepreneurs more control over the direction and success of their startup. Here are some principles to consider:

Mission and values statements

A mission statement is a description of why the entrepreneurial enterprise exists. The purpose is to define why you started the business and what you hope to achieve with it. A values statement describes the values you want your startup to embody. For example, the developer of a new mobile app for photographers may list values such as creativity and accessibility. For entrepreneurs, common values include:

- Innovation
- Diversity
- Curiosity
- Sustainability
- Courageous
- Passion

Growth strategy

With a growth strategy, the entrepreneur determines how they're going to reach their goals. They consider the resources they'll need and how they'll best use those resources. It's important for entrepreneurs to take the time to plan out a growth strategy, to use resources efficiently. Common growth strategies for new businesses include market penetration, product expansion and diversification.

Organizational structure

An organization's structure determines how work usually flows throughout the organization. For example, as the head of the business, you may assign your marketing manager with creating a new advertising plan, who then assigns different tasks to those working in your marketing department. The structure essentially defines the hierarchy of your business. It's important for entrepreneurs to consider the best structure for their startup, to implement an efficient one. By creating an organizational structure, everyone knows who to report to, which aids in the decision-making process.

Right people

Hiring the right people is an important step for entrepreneurs to create an efficient team. As the business progresses, they may decide which tasks they want to delegate and search for the right people to do them. The first employees are also important resources to help the business achieve its goals. When selecting a team, an entrepreneur may look for those who have the right skills and knowledge and are also comfortable working in a startup environment.

Finance strategy

Entrepreneurs also determine how they're going to pay for different business items and resources. Creating a strong financing strategy can help the entrepreneur understand their financial status when making business plans. In entrepreneurial management, the entrepreneur outlines all their sources of funds. They will also detail how much their different operations cost and when they need to make these payments.

INNOVATION CONCEPTS

In the entrepreneurial context, innovation is any new idea, process, or product, or a change to an existing product or process that adds value to that existing product or service.

What is innovative entrepreneurship?

Innovative entrepreneurship is the practice of establishing and creating new business ideas intending to generate profit, assist the community, and accomplish company goals. Innovative entrepreneurs develop business models to identify to meet the needs of an organization and improve their competitiveness in the market. Most entrepreneurs use innovative ideas to help create these business models or make upgrades to their current model. There are many types of innovative business entrepreneurs, including:

Social entrepreneurs

This type of entrepreneur often aims to solve community problems with their product or services. Social entrepreneurs often measure success in improving their community rather than success in profits.

Startup entrepreneurs

Startup entrepreneurs innovate a single product or service that's unique to an industry. To promote success in their startup business, they may use innovative marketing strategies to keep customers.

Enterprise entrepreneurs

Enterprise entrepreneurs may use innovation to develop new ideas for corporations that have been in business for many years. This can help an enterprise business stay relevant and competitive in its market.

Why innovation is important?

With the rising competition, many entrepreneurs have started discussing innovation. But what is the meaning of innovation, and why is it important for entrepreneurs? So, innovation is basically the replacement or improvement of something. Innovation is the particular instrument of entrepreneurs with the help of which an individual exploits the changes as a chance for a different business. An Innovative Entrepreneur is one who has the ability to tackle to produce innovative products to meet the market's demands and trends. Innovation in Entrepreneur plays a role in many ways like in:

1. Creative Development

Innovation enhances the nature, creativity, and design thinking process of a brand. A new business can attain the height of success by learning the steps of creativity. Innovation in Entrepreneurship can open the doors of various opportunities by helping the business to keep up with the current trends.

2. Persistent Improvement

Innovation gives organizational durability when you are making continual improvements. A good entrepreneur will realize the importance of innovation, which will help in increasing the creativity of business.

3. Reinforcing Your Brand

The process of development branding discloses the details, which helps the HR innovation leaders to learn different ways of being more innovative. This thing is highly crucial because it is among the main drivers for triumph.

4. Making the best of your existing products

We know that for an entrepreneur, it is important to introduce new products but more than that, to maintain the innovation culture making the best of old products is more important. Improvement of existing products can help a company in increasing its efficiency, profits, etc. With the help of enhancing the design thinking process and with continuous innovative improvements, a company can attract better staff, improving a business's health.

5. Responding to Trends and Competition

HR innovation responds to the current success and current needs and focuses on predicting future trends. With the help of innovation in entrepreneurship, responding to future trends can help an entrepreneur's business to come up with solutions to make their business grow more.

6. Having a Unique Selling Point

Consumers generally consider innovation culture as something that adds some interesting values to its products. Innovation in entrepreneurship can add advantages that can help the company in getting positive exposure.

7. The Use of social media

With social media's help in an organization's innovation campaign, one can attract a wide range of ideas using social media. Social can be proven great for motivating, managing, and getting focused on your business. Social media can help a business to know what are the basic needs of customers, and we can improve our products to fulfill their demands to make our business grow progressively. Many companies have started arriving with various unique ideas to attract customers and meet their demands. With this thing, competition is also getting a new height, and in this era, it is not easy for an entrepreneur to survive. For an entrepreneur, it can get difficult to survive without any innovative ideas, a good team, and various attractive deals. To make your business survive and grow in this market, it is important to have the right skills with great knowledge to apply innovation to your business.

THE NEW VENTURE

New ventures, or entrepreneurial ventures, are broadly defined as those firms that are in their early stages of development and growth. Often they are in the process of bringing their initial products or services to the market and of developing their customer base.

Entrepreneurial Management Requirements in a new venture.

Entrepreneurial management in the new venture has four requirements:

- It requires, first, a focus on the market.
- It requires, second, financial foresight, and especially planning for cash flow and capital needs ahead.
- It requires, third, building a top management team long before the new venture actually needs one and long before it can actually afford one.
- And finally, it requires of the founding entrepreneur a decision in respect to his or her own role, area of work, and relationships.

The need for market focus

Market research should never be underestimated. Many successful new businesses enjoy longevity because their owners conduct regular market research to understand their target market, identify consumer problems and pinpoint realistic competitors.

It's the simplest way for entrepreneurs to keep up with market trends and maintain a competitive edge by sizing up your business opportunity.

Identify the objectives of Market Research The objectives will also determine the types of market research that you need to undertake in order to be successful:

Primary market research covers the following:

1. Monitoring the effectiveness of sales
2. Ascertaining the quality of services provided by competitors
3. Understanding the channels of communication used by competitors
4. Assess the active competition within the market

Secondary market research covers the following:

1. Published company reports data
2. Existing surveys and studies
3. Newspaper reports
4. Government data

The key steps of successful market research

There are four important steps to any successful market research study:

1. Investigate whether similar research has previously been carried out
2. If so, analyse the existing relevant data that meets your objectives – providing it meets your budget
3. How will the existing data be used and by whom?
4. Do you need to conduct your own primary market research too? If so, with whom?

Understanding the types of customers you'll encounter

Types of customers

Most new businesses will encounter three different types of customers;

1. *The 'savvy' purchaser*

This type of customer is someone that's not necessarily concerned with the quality or effectiveness of a product or service, but is intent on getting the best possible value. A 'savvy' customer is someone that's likely to be aware of all the prices offered by your major competitors, so you'll need to carry out secondary market research to understand whether your products or services will be priced competitively.

2. *The industry influencer*

An industry expert or influencer is someone that is not only highly knowledgeable about your target market, they can influence other prospective customers that trust their opinion.

An industry expert will not be fixated on the price of a product or service, they are often more concerned with the value and quality. Industry influencers make for ideal candidates to use for primary market research, allowing them to use your products or services, garnering their opinion on them and the market as a whole.

3. *The end-user*

An end-user is a customer that will actually use your products or services on a day-to-day basis. End users also make for excellent candidates for primary market research, allowing you to understand their frustrations and limitations – ideal if you're still in the process of developing and designing new products, giving you the edge over the competition.

Financial Foresight

Entrepreneurs starting new ventures are rarely unmindful of money; on the contrary, they tend to be greedy. They therefore focus on profits. But this is the wrong focus for a new venture, or rather, it comes last rather than first. Cash flow, capital, and controls come much earlier. Without them, the profit figures are fiction—good for twelve to eighteen months, perhaps, after which they evaporate. The unfortunate reality is that one out of every four businesses fails after its first year in operation.

Sources Of Finance For A New Entrepreneur

1. Personal Investment

It would help if you were your first investor, putting in as much money as you can afford. This will show potential investors that you're committed to your business. You can also use your savings to finance your business, which can be a good option if you don't want to take on debt.

2. Family And Friends

Your family and friends are a great source of financial support when starting a business. They can provide you with loans or investments, and they're often more flexible than banks when it comes to repayment terms.

3. Bank Loans

Bank loans are a popular source of finance for entrepreneurs. However, they can be challenging to obtain if you have no credit history.

4. Angel Investors

These are wealthy people who are looking to invest in new businesses. They usually have a lot of experience and want to be more hands-on than venture capitalists.

To find an angel investor, try going to business events and pitching your business idea to potential investors. You can also search online for “angel investors” or “venture capitalists” in your area.

5. Government Subsidies And Grants

Several government agencies offer subsidies and grants to new entrepreneurs. The amount of financial assistance varies, but it can be a great way to get your business off the ground.

6. Crowdfunding

Here you’ll get money from a group of people, most likely strangers, who believe in your business idea and are willing to invest it.

You’ll need to create a compelling pitch to convince people to invest, and you’ll need to set a funding goal. If you reach your goal, you’ll get the money.

7. Equipment Financing

If you need to purchase equipment for your business, you may be able to finance it through a loan. There are a few different types of equipment loans available, and the best option for you will depend on the equipment you need and your financial situation. You may be able to get an equipment loan from a bank, credit union, or online lender.

Building a Top Management

In the early days of running your own business, it’s natural to try to do as much as possible yourself. It’s the most cost-effective, comfortable, sensible way to do things in the beginning. But as your enterprise grows, you’ll find yourself stretched thinner and thinner. Eventually, you’ll find you just can’t continue to oversee operations and sales and accounting and fulfillment and marketing—and hope to continue to grow your business.

When you reach this point, it’s time to think about bringing other high-level managers on board to help you out. When it comes time to hire an executive team, you’ll need to find people to fill the following roles:

Chief Operating Officer (COO)

A COO handles a company’s complex operational details. The company’s COO insures the business can deliver day after day. He figures out just what needs to be measured so he can tell if things are going well. Then his team creates the systems to track the measurements and takes action when the company isn’t delivering.

In a one-location retail business, the store manager is effectively the COO. When you expand to multiple locations or when ensuring smooth operations becomes a big part of your business, it’s time to hire someone who revels in measurements, operations and details.

President

No one knows just what a president does. I’ve asked dozens of executives, and everyone’s answer is different. Some say a president oversees staff functions—human resources, finance and strategy—while the COO oversees daily operations. Others proclaim that the president is a synonym for COO, especially in smaller companies. Yet sometimes, the president fills gaps left

by the COO and CEO. Or sometimes, the title goes to someone you want at the strategy table but who doesn't have an obvious C-level title. In any case, you should think long and hard about whether you need someone to fill this title, or if your company is fully covered with a CEO and COO.

Chief Financial Officer (CFO)

Plain and simple, your CFO handles the money. They create budgets and financing strategies. They figure out if it's better for your business to lease or buy. Then they build the control systems that monitor your company's financial health.

Chief Marketing Officer (CMO)

Recently, companies have been bringing in a marketing expert at the C-level rather than as just a vice president. The reason is simple: Many current business battles are battles of marketing, so corporate strategy often hinges on marketing strategy. The CMO owns the marketing strategy—and that often includes the sales strategy—and oversees its implementation. The CMO will know (or learn) your industry inside out and helps you position your product, differentiate it from your competitors' products, enlist distributors, and make sure customers learn to crave your product.

Chief Technology Officer (CTO)

I'm a techie from way back, so I'm pretty opinionated about CTOs: Many of them just don't belong in the C-suite. A CTO should keep up with technology trends, integrate those trends into the company's strategy, and make sure the company keeps current when it's necessary. They should not be buying new toys and leading-edge technology just because it's the latest, greatest thing out there.

Finding Your Team Members

Unfortunately, good executives don't grow on trees (and you wouldn't want to hire the ones that do). Since their decisions can make or break your business, you want the best. Newspapers, classified ads and internet bulletin boards are not the way to go. And mass-market ads will attract exactly that—the mass market, people who have no other job prospects. (A skillful, former executive rarely lists themselves in the same newspaper section as used backyard grills and heavy farm machinery.

If you have the funds available, executive search firms are a good way to go. Although they charge through the nose to find candidates, they do due diligence and present you with pre-screened candidates, so when you're running around handling the emergency of the day, they can be a huge time-saver. They also monitor the pool of executive talent and can likely reach candidates you couldn't approach on your own.

Where I can contribute

Building a top management team may be the single most important step toward entrepreneurial management in the new venture. It is only the first step, however, for the founders themselves, who then have to think through what their own future is to be.

They tend to begin by asking: "What do I like to do?" Or at best, "Where do I fit in?" The right question to start with is: "What will the venture need objectively by way of management from here on out?" And in a growing new venture, the founder has to ask this question whenever the business (or the public-service institution) grows significantly or changes direction or character, that is, changes its products, services, markets, or the kind of people it needs. The next question the founder must ask is: "What am I good at? What, of all these needs of the venture, could I

supply, and supply with distinction?” Only after having thought through these two questions should a founder then ask: “What do I really want to do, and believe in doing? What am I willing to spend years on, if not the rest of my life? Is this something the venture really needs? Is it a major, essential, indispensable contribution?”

Purposeful Innovation and the Seven Sources for Innovative Opportunity

Entrepreneurs innovate. Innovation is the specific instrument of entrepreneurship. It is the act that utilises resources with a new capacity to create wealth. Innovation, indeed, creates a resource (something having economic value and may cause future economic benefit).

Innovation

Innovation can be defined as changing the yield of resources. Or, according to a modern economist changing the value and satisfaction obtained from resources by the consumer.

Why Innovate

- Achieve economies of scale (lower costs)
- Gain customers' attention (lower prices)
- Achieve a larger market share

Types of Innovation

1. The introduction of a new good (or improvement of an existing one)
 - Rare to introduce a fundamentally new product (like Shwarma / wrap)
 - Product/ service differentiation (Camel meat instead of chicken meat)
2. The introduction of a new process (A new process to produce cloth)
3. The opening of a new market (especially exporting)
4. The identification of a new source of supply of raw materials
5. The creation of a new type of industrial organisation

Systematic Innovation

Systematic innovation consists of the purposeful and organized search for changes, and the systematic analysis of the opportunities such changes might offer for economic or social innovation. It means monitoring seven sources of innovative opportunity.

Sources of innovative opportunity

The first four sources lie within the enterprise, whether business or public-service institution or within an industry or service sector. They are therefore visible primarily to people within that industry or service sector. They are basically symptoms. But they are highly reliable indicators of changes that have already happened or can be made to happen with little effort. These four source areas are:

Internal sources of innovative opportunity

1. **The unexpected**—the unexpected success, the unexpected failure, the unexpected outside event;
 - The Unexpected success (Stop appliances sales example)
 - The Unexpected failure (Clumsy Padlock in British India)
 - The unexpected outside event (Mainframe to laptop, physical book to online book)
2. **The incongruity** (disorderliness/inconsistency)—between reality as it actually is and reality as it is assumed to be or as it “ought to be”;

Several kinds of incongruity:

- Between the economic realities of an industry (Demand for a product or a service is growing steadily but the profitability of the industry is falling); **Marketing opportunity**

- An industry and the values and expectations of its customers (**Television**: access to a new world, Own **car**: freedom, power mobility);
 - An internal incongruity within the rhythm or the logic of a process (Anxiety of surgeons clear through preservation of enzyme for eye surgery: **Medical industry**).
3. **Innovation based on process need** (Monotype vs linotype setting machine in print media, in Bookkeeping); innovation in the **accounting industry**
 4. **Changes in industry structure or market structure** that catch everyone unawares.
 - Rapid growth of the industry (compared to growth in economy or population)
 - Ways in which stereotypes define and segment the market no longer reflect reality (Radio Vs Television)
 - Convergence of technology (Telecommunication & telephone)
 - Way of doing business is changing rapidly



External sources of innovative opportunity

The second set of sources for the innovative opportunity, a set of three, involves changes outside the enterprise or industry:

5. Demographics (population changes)
 - Age (Young vs old proportion of the population)
 - Gender (Target market for the product)
 - Marital status
 - Family size
 - Occupation
 - Educational level
 - Linguistic background
 - Income level
 - Ownerships or belongings
 - Nationality/ ethnicity
 - Race

- Religion
- Location
- 6. Changes in perception, mood, and meaning;
 - Perception
 - Decreased mortality rate at birth & Increased cure of lung cancer; but
 - Increased Hypochondria (anxiety disorder), Immorality in experimentation
 - Obsession with getting old, losing fitness & long-term illness
 - (e.g., Creates opportunities for **medical sciences** and **workout businesses**)
 - Timing

College recruiters of Citibank hired top female students in finance as it changed its policy from top male students in finance because top male students were not at top of their classes.
- 7. New knowledge, both scientific and nonscientific
 - Characteristics of Knowledge-based innovation
 - Longest lead time (time between idea of innovation and its actual practical use)
 - Convergences (of several knowledges, not all are scientific / technological)
 - Requirements of Knowledge-based innovation
 - Careful & thorough analysis
 - Clear focus on the strategic position (should be right the 1st time: not tentative)
 - Innovator to learn and practice entrepreneurial management

Risks associated with innovation (Also small businesses)

Uncertainty

For a long time, there is an awareness of innovation about to happen—but it does not happen. Then suddenly there is a near-explosion, followed by a few short years of tremendous excitement, tremendous start-up activity, and tremendous publicity. Five years later comes a “shakeout,” in which few survive.

- Market uncertainty (For of firm, Market power, Entry barriers)
- Customer uncertainty (Demand, price, taste & fashion) (chino pants)
- Aspirational uncertainty (aspirations, motivation & abilities of owner) (demotivation)

Shakeout window

Operational Risks

e.g., failing to meet your quality, cost or scheduling requirements & sacrifice of other products

Commercial risks

e.g., failing to attract enough customers

Financial risks

e.g., investing in unsuccessful innovation projects, economies of scale

Legal/ Regulatory risks

Business does not fall in purview of legal actions (e.g., bitcoin trading in Pakistan)

Environmental risks

Business harms environment (e.g., bitcoin production all around the world)

Innovation process

Step 1: Idea generation and collection

Innovation process starts with an idea and the best ideas can come from anyone in your team, at any time. So, making sure everyone knows how to capture and store ideas is essential.

Experience shows that researching and introducing dedicated idea management software is the simplest and most effective way to capture great ideas from a team. It provides a central location for storing ideas and actioning them in a transparent and efficient manner.

Step 2: Idea review and evaluation

Ideas should be reviewed and evaluated on a regular basis to ensure that they move quickly and that idea generators receive immediate feedback. People do not appreciate their ideas going into a bottomless pit because lack of feedback can demotivate them and discourage further participation in the innovation programme.

Step 3: Proof-of-concept or a pilot

Ideas that are aligned with the strategic goals of the entrepreneur and have successfully passed through the evaluation stage can be further developed. If the idea creates a big change, it's beneficial to run a small pilot, build its MVP (minimum viable product) or run a proof of concept before rolling it out to the whole organisation. This stage may be thought as a rehearsal and also as a time to prepare communication plan about upcoming changes.

The key to a successful pilot stage is simple: **feedback, feedback, feedback!** The idea generating team must watch, listen and participate, and not just focus on the positives. Through this entrepreneur has a chance to significantly limit his risk before going into full production.

However, **if the idea is a quick win**, it's better to act fast and simply jump into the execution and implementation stage as it will keep the momentum going. During this stage, entrepreneur should establish clear, measurable KPIs for a full rollout, so pay attention to the details.

Step 4: Full rollout and implementation

Next come the time to roll the idea out to the whole company. After successful completion of all the prior steps, entrepreneur should feel confident after a pilot, and all stakeholders should be on board.

Further, one consideration is necessary at this stage, i.e. how this new idea is going to be integrated into existing systems. For this the entrepreneur must get help with producing clear training guides.

Step 5: Adoption and benefit realisation

When an idea is successfully implemented, one must not forget to regularly review and check whether this new solution still solves the initial problem and whether it has been well adopted by the whole organisation. It's also really important to keep collecting feedback. So, it is necessary to continue tracking the success of initiative against its initial KPIs (Key Performance Indicators) and make a note of any lessons learned.

Developing entrepreneur

Entrepreneurial Profile

Entrepreneur Profile is a short description of various traits, characteristics, and qualities of an entrepreneur to identify a business opportunity and organize operational resources assuming certain financial risks associated with it.

Successful Entrepreneur Profile

A successful Entrepreneurial profile consists of the main features and skills that form a successful entrepreneur.

Essential entrepreneurial skills

- Passion
- Determination
- Creativity
- Ingenuity
- Perseverance
- Leadership

Traits and characteristics of a successful entrepreneur

- Risk-taking ability
- Creativity/imagination
- Self-confidence
- Determination
- Independence
- Perseverance (How Persistent an entrepreneur is?)
- Believe in their capacities

Qualities of a Successful Entrepreneur

Responsibility

Sense of Personal Responsibility, Group Responsibility & Social Responsibility

Commitment

Committed to perform and achieve goal by organizing resources and People

Creativity

Most of the entrepreneurs possess this quality. They have very creative and innovative mind.

Novelty

They always come up with new ideas, methodologies, and newness in a process to move towards a common goal with speed and consistency.

Flexibility

Openness of mind – Entrepreneurs must be open to seeing all angles of the situation and flexible to modify or change the execution.

Risk-Taking

This is probably the most important quality of a successful entrepreneur.

Skillful organizer

Organizing a team with diversified skills is a very crucial task and needs a lot of patience and skills. Here, entrepreneur needs collaboration or organization skills to motivate the team.

External factors

- Sociodemographic: Social and Population related factors
- Psychological
- Cultural

Internal Factors affecting successful entrepreneurial profile

- Age
- Gender
- Experience
- Resources
- Educational Background
- Skills
- The current situation of the enterprise

Entrepreneur Profile Analysis

Entrepreneur profile analysis is a detailed examination of the qualities, characteristics and factors associated with an entrepreneur. It also analyses the contribution of these qualities and factors to his or her success or failure in the entrepreneurial journey.

Trait Theory of Entrepreneurship

An entrepreneur is a pioneer, a leader, and a captain of the firm. Hence, the profit, the entrepreneur gets depends on his efficiency and superior talents. In other words, to be successful, an entrepreneur must possess certain traits or characteristics of personality like **creativity, self-confidence, risk-taking, imagination, perseverance**, etc.

The trait, theory holds that entrepreneurship developed because the *individuals called entrepreneurs* possessed certain specific traits, characteristics, or competencies which made them capable of generating new ideas and creating a new venture. The major traits responsible for the emergence of entrepreneurs include creative and innovative skills, a propensity to take risks, the ability to build on organization perseverance, and foreseeability. Different studies have emphasized different traits. The critics of the trait approach ask a logical question as to whether those among us who do not choose to be entrepreneur, have similar traits.

Traits, qualities, and characteristics of a successful entrepreneur

- Passion
- Determination
- Creativity / Imagination
- Ingenuity
- Perseverance
- Leadership
- Risk-taking ability
- Self-confidence (Believe in their capacities)
- Determination
- Independence

Small & Medium Enterprises

Small business

Small businesses are easier to describe than to define. The Bolton Report (1971) described a small business as follows:

- In economic terms, a small firm is one that has a relatively small share of its market.
- It is managed by its owners or part owners in a personalised way, and not through the medium of a formalised management structure.
- It is independent in the sense that it does not form part of a larger enterprise and that the owner/managers should be free from outside control in taking their principal decisions.

Examples of limitations for SMEs

- Turnover
- Balance sheet total
- Number of employees
- Net working capital (current assets – current liabilities)

Owner-Manager of SME

The importance of the owner-manager

The personal characteristics required to launch a business successfully are not those required for growth and, even more frequently, not those required to manage it once it has grown to any size. The role of the owner-manager needs to change as the business develops, but all too often they are not able to make the transition. However, there do seem to be fundamental differences in the characteristics of those owner-managers that launch growth businesses and those that set up life-style businesses. These differences go to the heart of trying to describe what constitutes an 'entrepreneur'

The reasons for starting a business are usually a mix of the following:

- the need for independence,
- the need for personal development,
- the need for material wealth,
- the need for recognition,
- the need to support a family or to contribute to the support,
- the need to benefit financially from their own skills and experience,
- following role models

Psychologists identified five characteristics typical for owner managers

The need for achievement

'Achievement' for the individual owner means different things depending what type they are: for example, the satisfaction of producing a beautiful work of art, employing their hundredth person, or the magic one million pounds. Owner-managers typically have a high need for achievement.

Locus of control

If you believe that you can exercise control over your environment and ultimately your destiny, you have an internal locus of control. If, however, you believe in fate, you have an external locus of control and you are less likely to take the risk of starting a business. Owner-managers

typically have an internal locus of control, which is the same for many senior managers in large firms.

Risk taking

Risk taking has long been associated with entrepreneurs, although business owners rarely pursue a business opportunity if there seems a low chance of success. Most decisions are taken on an incremental basis in an attempt to minimise risk. Those who do not want their businesses to grow will rarely put themselves in a position where a decision involves risk. Owner-managers are measured risk takers.

The need for independence

This is most often seen as 'the need to be your own boss' and is the trait that is most often cited, and supported, by researchers and advisors alike. However independence means different things to different people, such as controlling your own destiny, doing things differently or being in a situation where you can fulfil your potential. It has often been said that, once you run your own firm, you cannot work for anybody else (Collins and Moore, 1970).

Innovative behaviour

Many have singled this out as the true mark of the entrepreneur, as opposed to business owners generally. However few businesses are truly innovative in that they can claim to have something that is completely new. Most do things slightly differently or combine a number of different factors in a different way.

Strengths and weaknesses of SMEs

Weaknesses of SMEs

- They are affected by sales fluctuations
- They are affected by a negative competitive environment
- Depends on a single manager in decision-making
- There is a risk of losing independence and going bankrupt
- There are structural deficiencies in the enterprise
- Funding sources are limited, they have difficulty obtaining
- Marketing is viewed only as sales
- They are not sufficient in management, accounting and production.
- Low levels of collaboration and efficiency.
- The level of training of SME managers and the quality of their employees are not at the desired level

Strengths

- They have a flexible structure, they can easily adapt to the personal tastes and trends of consumers, the requirements of fashion and change their production subjects according to consumer trends
- They're more prone to innovation, but they may have financial difficulties
- With technical changes, they can output more with fewer inputs
- They have an advanced human relations and organizational climate
- Since production is not much, there are not many storage and after-sales problems
- In production, they can fill gaps between various units faster.
- There are fewer staff and bureaucracy
- They help encourage personal savings

- They produce the basic materials necessary for large enterprises more quickly
- They help encourage competition
- They contribute to balanced development between regions
- They have limited market space
- They provide quick decision-making and competitive opportunities

Problems of SMEs

These SMEs face the characteristics include the following:

Operating / management problem

- One person - the owner-manager - has an overwhelming influence on the firm. Their views and values will influence all aspects of its activities. This means that business decisions will often become personal decisions and the logic of the balance sheet will not always apply. There is also the risk of over-dependency upon one individual for the well-being of the firm.
- Due to difficulties in the provision of information and inadequacies in the evaluation of the information obtained, SMEs are unable to keep up with technological changes and cannot take the necessary measures.
- Due to the lack of cooperation and partnership in manufacturing companies in the same and similar sectors, there is difficulty in the formation of social capital.

Marketing problems

- Small firms are likely to operate in a single market, or a limited range of markets, probably offering a limited range of products or services. This means that the scope of the firms' operations is limited and less of a strategic issue than in large firms. However, it also means that, unlike larger firms, they find it more difficult to diversify their business risk.
- Small firms are likely to be over-reliant on a small number of customers. This means they are particularly vulnerable to losing any one customer and the effect on the firm of such a loss will be disproportionately large. This is another reason why they are riskier than large firms.
- Most small firms are unlikely to be able to exert much influence on their market. They are price takers in the classic economic sense and are likely to face significant competition. This makes the risk of failure high and means that competitive strategy is of paramount importance. However, some small firms combat this danger very effectively by differentiating their product or service and/or segmenting their market and developing a market niche for themselves.
- This causes businesses to be much more sensitive to changes in market conditions and to face great difficulties, especially in the face of increases in input prices.
- SMEs do not benefit sufficiently from marketing tools (market research, advertising, after-sales services, etc).
- Problems in having experienced personnel to access the market and access modern technology and information.
- Marketing activities such as determining the target market or market sections required for the products to be produced, determining customer preferences, carrying out design studies, quality control, packaging, delivery of orders are not given enough importance.

- Due to the importance of SMEs to their independence and lack of communication between enterprises, their inability to establish partnerships for domestic and foreign markets leave these enterprises at a competitive disadvantage to large enterprises and cause their costs to rise

Financing problem

- Small firms are not public companies. This means they often have problems raising capital and this can significantly constrain their choice of strategies. Indeed, for many small firms seeking to grow, raising finance can become a major strategic issue and relationships with financing institutions such as banks can become a major resource issue.
- SMEs lack credit reputation and management capacity, so they have difficulties obtaining funds for operations such as the provision of raw materials and products, investment in factories and equipment

Production problems

- Lack of Technology.
- The need for financing and qualified personnel in order to follow technological developments is a major obstacle for SMEs.
- Failure to meet quality norms.
- Inability to mechanize due to lack of capital.
- Lack of advanced management knowledge to implement new production technologies.
- Monopoly firms are constantly raising input prices due to high inflation or excessive profits.
- SMEs, which are extremely weak against suppliers in monopoly positions, have to work completely dependent on these enterprises for their delivery times, amounts of goods to be received and prices.

Entrepreneurial Marketing

Entrepreneurial marketing refers to the marketing strategies and tactics that entrepreneurs and startups use to create and grow their businesses. It is a process that involves identifying and satisfying customer needs, building brand awareness, and developing a competitive advantage in the market.

Entrepreneurial marketing is different from traditional marketing in several ways. Unlike established businesses, entrepreneurs often have limited resources, including time, money, and personnel. This means that they must be creative and resourceful in their marketing efforts, often relying on guerilla marketing tactics and low-cost strategies.

Entrepreneurial marketing is also characterized by a focus on innovation and agility. Entrepreneurs must be able to adapt quickly to changing market conditions and consumer preferences, and they must be willing to take risks and experiment with new marketing ideas.

Entrepreneurial marketing refers to the process of developing and implementing marketing strategies and tactics that are suitable for startup businesses, innovative companies, and small to medium-sized enterprises (SMEs) that are operating in a rapidly changing environment.

Steps to Create Framework for developing entrepreneurial marketing

To create a framework for developing entrepreneurial marketing, you can follow these steps:

Define your target market

Identify the specific segment of customers that your product or service is aimed at. Determine their needs, preferences, behaviors, and expectations. Use this information to create customer profiles or buyer personas that guide your marketing efforts.

Develop your value proposition

Define the unique benefits and value that your product or service provides to your target market. This should be a clear and concise statement that highlights the key features, advantages, and benefits of your offering.

Determine your marketing mix

Identify the best combination of marketing tactics that will help you reach your target market and communicate your value proposition effectively. This could include a mix of digital marketing, social media marketing, content marketing, PR, advertising, events, and other channels.

- | | | | |
|-------------------------|--------------|--------------|----------|
| 1. Product (or Service) | 2. Price | 3. Promotion | 4. Place |
| 5. People | 6. Packaging | 7. Process | |

Conduct market research

Regularly collect and analyze data on your target market, competitors, and industry trends. This will help you refine your marketing strategies, adjust your messaging, and stay ahead of your competitors.

Be agile and flexible

As a startup or SME, you need to be able to adapt quickly to changes in the market, customer needs, and emerging technologies. Use feedback from your customers and data analytics to continuously improve your marketing efforts and stay relevant.

Build brand awareness

Develop a strong brand identity that reflects your values, vision, and unique selling proposition. Use consistent branding across all channels to build brand recognition and loyalty.

Measure and optimize

Track the performance of your marketing campaigns and use data-driven insights to optimize your strategies and tactics. This will help you identify areas of improvement, allocate resources more effectively, and achieve better results over time.

By following these steps, you can create a framework for developing entrepreneurial marketing that is tailored to your business goals, target market, and industry context.

Components of framework of entrepreneurial marketing

The components of a framework for entrepreneurial marketing can vary depending on the specific context and needs of your business. However, here are some key components that are often included in such a framework:

Customer analysis

This involves identifying and analyzing the needs, preferences, behaviors, and expectations of your target customers. It helps you understand their pain points and how your product or service can solve their problems.

Competitive analysis

This involves identifying and analyzing your competitors' strengths, weaknesses, opportunities, and threats. It helps you differentiate your offering and position your business more effectively in the market.

Value proposition

This involves defining the unique benefits and value that your product or service provides to your target customers. It helps you communicate your value proposition clearly and effectively to your target audience.

Marketing mix

This involves determining the best combination of marketing tactics to reach your target customers and achieve your business goals. It includes channels such as social media, content marketing, PR, advertising, events, and more.

Branding

This involves creating a strong brand identity that reflects your values, vision, and unique selling proposition. It helps you build brand recognition and loyalty among your target customers.

Metrics and analytics

This involves tracking and measuring the performance of your marketing campaigns and using data-driven insights to optimize your strategies and tactics. It helps you make informed decisions and achieve better results over time.

By including these components in your framework for entrepreneurial marketing, you can develop a comprehensive and effective approach to marketing your startup or small business.

Entrepreneurial marketing strategies

Entrepreneurial marketing strategies refer to the techniques and tactics used by startup businesses, innovative companies, and small to medium-sized enterprises (SMEs) to promote their products or services in a cost-effective and efficient manner. Here are some common entrepreneurial marketing strategies:

Content marketing

This involves creating and sharing valuable, informative, and engaging content such as blog posts, videos, infographics, and social media updates. Content marketing helps you build brand awareness, establish thought leadership, and attract potential customers to your website.

Social media marketing

This involves using social media platforms such as Facebook, Twitter, LinkedIn, and Instagram to connect with your target audience, share content, and promote your products or services. Social media marketing helps you reach a wider audience, engage with your customers, and build brand loyalty.

Influencer marketing

This involves partnering with influencers, bloggers, or thought leaders in your industry to promote your products or services. Influencer marketing helps you reach a highly targeted audience, build credibility and trust, and increase your brand's visibility.

Search engine optimization (SEO)

This involves optimizing your website and content to rank higher in search engine results pages (SERPs) for relevant keywords and phrases. SEO helps you attract more organic traffic to your website, increase brand awareness, and improve your credibility and authority in your industry.

Email marketing

This involves using email to communicate with your target audience, promote your products or services, and build relationships with your customers. Email marketing helps you nurture leads, increase conversions, and drive repeat business.

Referral marketing

This involves encouraging your customers to refer their friends and family to your business in exchange for incentives or rewards. Referral marketing helps you generate new leads, increase customer loyalty, and improve your brand reputation.

By implementing these entrepreneurial marketing strategies, you can effectively promote your products or services, reach your target audience, and achieve your business goals in a cost-effective and efficient manner.

Product quality and design

Product quality and design play a critical role in the success of any entrepreneurial marketing strategy. Here are some ways in which product quality and design can enhance your marketing efforts:

Differentiation

High-quality products and unique designs can set your business apart from competitors and help you differentiate your offering in the market. This can give you a competitive advantage and attract more customers to your business.

Brand perception

A well-designed and high-quality product can enhance the perception of your brand and create a positive image in the minds of your customers. This can lead to increased brand loyalty, customer retention, and word-of-mouth marketing.

Customer satisfaction

A high-quality product that meets or exceeds customer expectations can result in higher levels of customer satisfaction, repeat business, and positive reviews and referrals.

Pricing

High-quality products and unique designs can justify higher prices, allowing you to charge a premium for your offering and achieve higher profit margins.

Innovation

Innovative product designs and features can create buzz around your brand and generate interest from potential customers. This can help you stand out in a crowded market and attract more attention to your business.

To leverage the benefits of product quality and design in your entrepreneurial marketing strategy, it's important to prioritize these aspects in your product development process. Conduct market research to understand your target audience's needs and preferences, and use customer feedback to refine your product designs and features. By creating high-quality products with unique designs, you can enhance your marketing efforts and build a strong brand reputation in your industry.

Table 3.1 Growth and static company characteristics

	Growth companies	Static companies
<i>Objective</i>	Maximise profits Increase sales	Less emphasis on profits More on independence
<i>Organisational structure</i>	'Tree' structure Development of 'teams' 'Clover leaf' (full-time, part-time and temporary) employee structure emerging	'Tree' in well-established firms
<i>Style of management</i>	Autocratic to start Consultation emerging	Paternal
<i>Structure of internal accounting</i>	Strong movement to profit centres	Less emphasis on centres
<i>Historical data</i>	Strong on cash flow Trend to monthly forecasts	Very little
<i>Key variables</i>	Cash flow Profitability Sales	More emphasis on supplier relationships

Source: Ray, G. H. and P. J. Hutchinson (1983), *The Financing and Financial Control of Small Enterprise Development*, Gower.

Table 3.6 Business imperatives as a firm grows

	Existence	Survival	Success	Take-off
<i>Orientation:</i>	Tactical	Tactical	Strategic	Strategic
<i>Management</i>	Owner is the business and has to be a 'jack of all trades' Spider's-web organisation Informal, flexible systems Opportunity-driven	Owner is still the business Still spider's-web organisation Some delegation, supervision and control	Staff start to be recruited Organisation starts to become formalised Staff encouraged and motivated to grow into job Delegation, supervision and control Strategic planning	Staff roles clearly defined Decentralisation starts to take place Greater co-ordination and control of staff Emergence of professional management Operational and strategic planning
<i>Marketing</i>	Get customers Undertake market research Develop relationships and networks	Generate repeat sales Develop unique selling proposition (USP) and select market segmentation Use relationships and networks	Generate repeat sales and find new customers Develop competitive advantage based upon USP and target markets Use relationships and networks	Select new customers and generate repeat sales Aggressively attack competition Use relationships and networks

Role of entrepreneurship

Entrepreneurs play a critical role in driving economic development by creating new businesses, jobs, and innovation. Here are some key ways in which entrepreneurs contribute to economic growth:

Job creation

Entrepreneurs create new businesses and hire employees, which helps to reduce unemployment and stimulate economic growth.

Innovation

Entrepreneurs are often driven by the desire to create new products or services that meet a need in the market. This can lead to the development of new technologies, processes, and business models, which can have a significant impact on the economy.

Increased competition

Entrepreneurs introduce new competition into the market, which can lead to lower prices, better quality products, and increased efficiency.

Wealth creation

Successful entrepreneurs can generate significant wealth, which can be reinvested into their businesses or used to start new ventures.

Regional development

Entrepreneurs often establish businesses in their local communities, which can help to stimulate economic activity and contribute to regional development.

Generation of services

Developing new service offerings

Entrepreneurs can develop new service offerings that meet the changing needs and preferences of customers. They can use their creativity and innovation to develop services that are faster, more convenient, and more personalized than existing offerings.

Improving existing services

Entrepreneurs can also improve existing services by introducing new processes, technologies, or business models that enhance the quality, efficiency, or effectiveness of the service.

Providing specialized services

Entrepreneurs can offer specialized services that are tailored to the unique needs of particular customer segments. For example, they can offer niche services in healthcare, financial services, or education that meet the specific needs of particular groups of customers.

Idea generation

Entrepreneurs are often at the forefront of generating new ideas, as they are constantly seeking opportunities to solve problems or meet unmet needs. They use their creativity and innovation to develop new products, services, or business models.

Knowledge creation

Entrepreneurs often have specialized knowledge and expertise in their particular fields, which they can use to create new knowledge and innovations. Through their research and development

efforts, they can generate new insights and ideas that contribute to the advancement of knowledge.

Dissemination of knowledge

Successful entrepreneurs often share their knowledge and expertise with others, through mentoring, training, or consulting. This can help to develop the skills and knowledge of others and to stimulate further innovation and entrepreneurship

Skill development

Entrepreneurs are constantly learning and developing new skills as they build and grow their businesses. They may need to develop skills in areas such as finance, marketing, operations, and management. Through trial and error, they can learn and refine these skills, which can be applied to future business ventures.

Collaboration

Entrepreneurs often collaborate with others to develop new ideas and solutions. They may work with partners, employees, or other entrepreneurs to share knowledge and expertise, and to develop new insights and approaches.

Overall, entrepreneurs are a critical component of economic development, and their contributions to job creation, innovation, competition, wealth creation, and regional development are essential for a healthy and thriving economy.

Types of entrepreneurs

Entrepreneurs can be classified into various types based on different criteria such as their level of innovation, business model, goals, and approach. Here are some of the commonly recognized types of entrepreneurs:

Innovators

These entrepreneurs are driven by their desire to create something new and innovative. They often come up with game-changing ideas and are willing to take risks to bring their ideas to market.

Imitators

These entrepreneurs are not necessarily interested in creating something entirely new but rather imitating an existing product or service with a twist. They may use a different approach or add unique features to an existing product or service.

Lifestyle entrepreneurs

These entrepreneurs prioritize a work-life balance and create businesses that enable them to enjoy their lifestyle while also earning an income. They often start small businesses and may not have aggressive growth goals.

Social entrepreneurs

These entrepreneurs are motivated by a desire to make a positive impact on society. They may start a business that aims to solve a social problem or improve people's lives.

Serial entrepreneurs

These entrepreneurs have a track record of starting and running multiple businesses. They often have a wealth of experience and may have a knack for identifying new opportunities.

Scalable startups

These entrepreneurs focus on building businesses that can grow rapidly and have the potential to become large companies. They often use technology to create products or services that can scale quickly.

Franchisees

These entrepreneurs purchase the right to use an established brand and business model. They operate a business that is already proven to be successful and follow a set of established guidelines.

Franchise Entrepreneur

These entrepreneurs own and operate a franchise of an established business model. They benefit from the support and brand recognition of the parent company but have some degree of independence in running their individual franchise location.

Small Business Entrepreneur

These entrepreneurs operate small, local businesses that serve a particular community or niche market. They may have fewer resources and a more limited reach than larger businesses, but they can often offer more personalized service and a strong connection to their local community.

Major forms of feasibility analysis for entrepreneurs

Feasibility analysis is an important process that entrepreneurs undertake to determine the viability of a business idea. There are several major forms of feasibility analysis that entrepreneurs should consider:

Market Feasibility Analysis

This type of analysis assesses the demand for the product or service the entrepreneur plans to offer. It involves researching the target market, understanding the competition, and evaluating potential customer demand.

Technical Feasibility Analysis

This analysis evaluates the technical requirements and resources necessary to develop and produce the product or service. It includes assessing the availability of technology, equipment, and skilled labor needed to develop and deliver the product or service.

Financial Feasibility Analysis

This type of analysis evaluates the financial viability of the business idea. It includes assessing the cost structure, estimating revenue potential, and determining the funding requirements and potential return on investment.

Operational Feasibility Analysis

This analysis evaluates the operational requirements necessary to run the business. It includes assessing the availability of resources, the feasibility of manufacturing or delivering the product or service, and the potential operational risks.

Legal and Regulatory Feasibility Analysis

This type of analysis assesses the legal and regulatory requirements necessary to operate the business. It includes assessing the potential legal risks and liabilities, understanding the regulatory environment, and ensuring compliance with applicable laws and regulations.

Entrepreneurs should undertake these forms of feasibility analysis to ensure that their business ideas are viable and sustainable in the long term. Each type of analysis provides important information to help entrepreneurs make informed decisions about their business idea and develop a successful business plan.

How to assess a venture's financial strength

Assessing a venture's financial strength is crucial for entrepreneurs and investors to determine its sustainability and profitability. Here are some ways to assess a venture's financial strength:

Financial Statements Analysis

The financial statements of a venture provide important insights into its financial health. The income statement, balance sheet, and cash flow statement can be analyzed to evaluate the venture's profitability, liquidity, and solvency. The analysis should include ratios like profitability ratios, liquidity ratios, and debt-to-equity ratios.

Break-Even Analysis

Break-even analysis helps determine the minimum sales volume required to cover all the costs of the venture. By calculating the break-even point, entrepreneurs can determine how much revenue is needed to avoid losses and achieve profitability.

Cash Flow Analysis

Cash flow analysis evaluates the inflow and outflow of cash in the venture. It helps entrepreneurs determine the amount of cash available to meet obligations, invest in growth, and distribute to investors. A cash flow statement provides information about cash receipts and payments and helps determine the venture's ability to generate cash.

SWOT Analysis

A SWOT (Strengths, Weaknesses, Opportunities, and Threats) analysis can help evaluate the venture's financial strength. It helps identify the strengths and weaknesses of the venture and the opportunities and threats in the market. By identifying its competitive advantages and potential risks, entrepreneurs can develop strategies to maximize profits and minimize losses.

Benchmarking

Benchmarking compares the financial performance of a venture with that of its peers. It helps entrepreneurs understand how they are performing relative to competitors and identify areas for improvement. By analysing the financial ratios and performance metrics of similar ventures, entrepreneurs can benchmark their performance and identify opportunities for improvement.

Overall, assessing a venture's financial strength is crucial for entrepreneurs and investors to make informed decisions about the venture's viability and profitability. By conducting financial statement analysis, break-even analysis, cash flow analysis, SWOT analysis, and benchmarking, entrepreneurs can evaluate the venture's financial strength and make strategic decisions to grow the business.

Explain the procedure or steps to buy an existing business

Buying an existing business can be an excellent way to become an entrepreneur as it reduces the risks associated with starting a business from scratch. Here are some general steps to follow when buying an existing business:

Identify your goals and criteria

Before starting the process of buying a business, you should identify your goals and criteria. This includes the type of business you want to buy, your budget, your expertise, and your expected return on investment.

Research the market

Once you have identified your goals and criteria, research the market to find businesses that meet your criteria. You can look for businesses for sale online, through brokers, or by networking with business owners in your area.

Conduct due diligence

Once you have identified a potential business to buy, conduct due diligence to evaluate its financial performance, operations, and legal compliance. This includes reviewing financial statements, tax returns, contracts, leases, and other legal documents.

Negotiate the purchase price and terms

After completing due diligence, negotiate the purchase price and terms with the seller. This includes determining the purchase price, financing options, and any contingencies, such as an earn-out clause or non-compete agreement.

Finalize the purchase agreement

Once the purchase price and terms have been negotiated, finalize the purchase agreement. This includes drafting a purchase agreement that outlines the terms of the sale, closing the transaction, and transferring ownership of the business.

Transition and integration

After closing the transaction, integrate the acquired business into your operations. This includes transitioning employees, customers, and vendors to the new ownership and implementing your business plan.

It is important to note that the process of buying an existing business can be complex and time-consuming. Hiring professionals such as an attorney, accountant, and business broker can help ensure a smooth and successful transaction.

Franchising

Franchising is a business model in which a franchisor grants a franchisee the right to operate a business using the franchisor's brand, products, and systems. The franchisee pays an initial franchise fee and ongoing royalties to the franchisor in exchange for the right to use the franchisor's intellectual property and business system.

Merits of Franchising

Established brand

One of the significant benefits of franchising is that franchisees get to operate under an established brand name, which provides instant recognition and credibility with customers.

Proven business model

Franchisees benefit from a proven business model that has been tested and refined by the franchisor. This reduces the risks associated with starting a new business from scratch.

Training and support

Franchisees receive training and ongoing support from the franchisor, which helps them operate their business successfully.

Access to suppliers

Franchisees benefit from the purchasing power of the franchisor, which allows them to access supplies at a lower cost.

Marketing support

Franchisees benefit from the marketing support provided by the franchisor, which includes national advertising campaigns, marketing materials, and promotions.

Demerits of Franchising

Initial franchise fee and ongoing royalties

Franchisees are required to pay an initial franchise fee and ongoing royalties to the franchisor, which can be expensive.

Limited autonomy

Franchisees have limited autonomy in running their business as they must comply with the franchisor's rules and guidelines.

Restrictions on the use of the franchisor's intellectual property

Franchisees are restricted in their use of the franchisor's intellectual property, including trademarks, logos, and operating systems.

Limited flexibility

Franchisees have limited flexibility in making changes to their business model or operations, as they must follow the franchisor's guidelines.

Dependence on the franchisor

Franchisees are dependent on the franchisor for ongoing support and training, which can limit their ability to make decisions independently.

In summary, franchising can be a beneficial business model for entrepreneurs who want to operate under an established brand name with a proven business model. However, franchisees should also be aware of the potential limitations and costs associated with franchising.